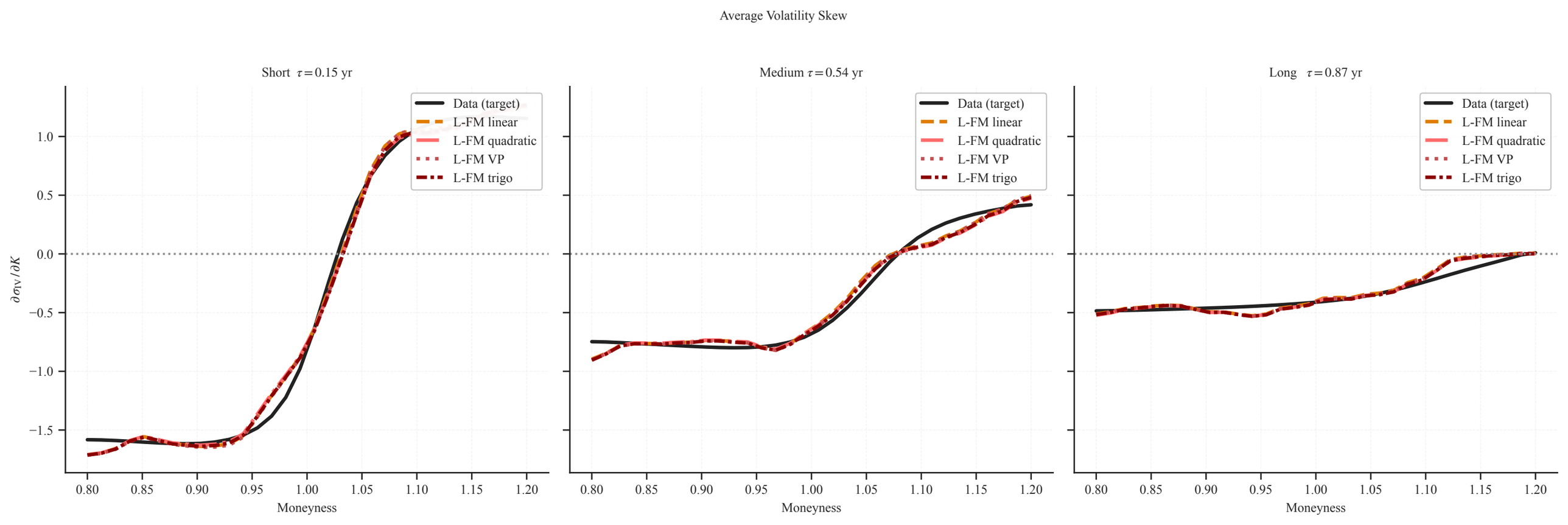
Average Volatility Skew
Short $\tau = 0.15$ yr
Medium $\tau = 0.54$ yr
Long $\tau = 0.87$ yr
Data (target)
L-FM linear
L-FM quadratic
L-FM VP
L-FM trigo
$\partial\sigma_{IV}/\partial K$
1.0
0.5
0.0
−0.5
−1.0
−1.5
0.80
0.85
0.90
0.95
1.00
1.05
1.10
1.15
1.20
Moneyness